



Vrzak Insurance

Integrated Agricultural Strategy Proposal

A comprehensive strategic program aligning farmland tax equity, crop insurance risk mitigation, and grain marketing intelligence.

Program Pricing Sheet

To protect profit margins, our program coordinates customer-facing offerings with direct margin-enhancing services. Each is billed in compliance with federal guidelines.

OFFERING	SERVICE	SERVICE GOAL	COST / RATE
Tax Strategy Equity Recovery	Legacy Nutrient Deductions	Document and write off residual soil fertility (P & K) acquired during land purchases or inheritances.	\$40.00 / acre
	R&D Tax Credits	Establish tax credits for operational testing, experimental trials, and equipment modifications.	15% of Credit

OFFERING	SERVICE	SERVICE GOAL	COST / RATE
Income Enhancement Risk Floors	Strategic Crop Insurance	Optimize Multi-Peril coverage and stack SCO/ECO to set a 90% or 95% county-level revenue guarantee.	RMA Regulated Paid to Ins. Co
Grain Marketing Margin Capture	Marketing Intelligence	Lock in peak pre-harvest seasonal pricing targets backed directly by your insurance floor.	\$5.00 / acre
Data Strategy Operations Prep	Data Concierge Service	Full-service compilation and database cleanup of historical maps, contracts, and yields for filings.	\$10 – \$15 / acre Effort/Volume Matrix

CONCIERGE DATA COLLECTION PRICING MATRIX

Formatting and compiling historical agronomic records (yield maps, scale tickets, contracts, FSA sheets) is billed dynamically based on your volume and records structure:

	LOW EFFORT (Organized cloud exports)	HIGH EFFORT (Paper logs or mixed systems)
LOW VOLUME (< 1,000 Acres)	\$12 / acre Low Effort / Low Volume	\$15 / acre High Effort / Low Volume
HIGH VOLUME (1,000+ Acres)	\$10 / acre Low Effort / High Volume	\$12 / acre High Effort / High Volume

Coordinated Program Savings Example (100 Acres)

1. **Tax Strategy (Nutrients):** \$170,000 in soil deductions yields ****\$51,000**** in tax savings (30% bracket).
2. **Tax Strategy (R&D):** Identifying variable-rate R&D credits yields ****\$10,000**** in direct tax liability offsets.
3. **Marketing Upside:** Pre-selling insured crop volume locks in an extra ****\$8,000**** (\$0.40/bu on 200 bu/ac).
4. **Program Net Fees:** \$4,000 soil fee + \$1,500 R&D fee + \$500 marketing fee + \$1,200 concierge fee = \$7,200.
- **Net Capital Gained: \$61,800**.**

Pillar 01 Legacy Nutrient Deductions Detail

When acquiring or inheriting farmland, you are purchasing not only real estate but also the "residual fertility" left behind in the soil from prior crop amendments.

Agronomic Soil Analysis & Data Demands

We partner with **Boa Safra Ag** to calculate the replacement market value of nutrients present in your soil. We document the levels of key macronutrients (Phosphorus, Potassium, and Lime) above standard agronomic baselines.

Historical Data Requirements: Claiming this deduction requires years of historical farm logs (yield histories, fertilizer application records, crop rotations, land purchase contracts, and shapefiles). We offer a complete ****Data Collection Service**** for an optional upcharge of ****\$15/acre**** to compile, clean, and organize these records for you.

The turnkey service includes:

- **Professional Soil Sampling:** Geo-referenced grid tests pulled directly from newly acquired tracts to establish actual nutrient volumes.
- **Forensic Agronomy Reports:** Analysis of crop extraction baselines and local soil physics to isolate the "excess" nutrient supply.
- **IRS-Compliant Documentation:** A structured, audit-ready valuation report prepared by agronomists that your CPA can immediately use to write off the asset value.

Pillar 02 Strategic Crop Insurance Detail

We look at crop insurance as a tool to establish a cash-flow floor for the operation. Federal crop insurance premiums are standardized by the USDA Risk Management Agency (RMA) — meaning they cost the exact same through every broker. We distinguish our service by coordinating coverage with your production costs and marketing plan.

Shallow-Loss Stacked Protection

Rather than purchasing basic 75% or 80% coverage, we specialize in layering policies. We stack the **Supplemental Coverage Option (SCO)** and **Enhanced Coverage Option (ECO)** on top of your base **Revenue Protection (RP)** policy to extend your revenue floor to 90% or 95%.

Key Strategy Focuses:

- **Breakeven Modeling:** Customizing coverage parameters (basic, enterprise, or optional units) to ensure your revenue floor covers 100% of input costs.
- **Maximum Subsidy Capture:** Structuring your enterprise units to capture the highest possible USDA premium subsidies, reducing your net premium out-of-pocket.
- **Compliance Timelines:** Managing all crop insurance reporting dates (Sales Closing March 15, Acreage July 15) in tandem with your agronomists.

Pillar 03 Grain Marketing Intelligence Detail

Executing grain sales without knowing your crop insurance guarantees is highly risky. We align your selling targets directly with your crop insurance coverage to take the fear and emotion out of marketing.

Eliminating the "Fear of Crop Failure"

Many producers hesitate to pre-sell grain during seasonal spring rallies because they fear a crop failure will leave them unable to fulfill their contract. By establishing a robust 90% or 95% revenue floor, you can aggressively lock in profitable forward prices, knowing your insurance indemnity will cover shortfalls.

Marketing Services Include:

- **Margin Triggers:** Setting precise sell limits based on real-time futures pricing and your specific operation's breakeven metrics.
- **Weekly Basis Audits:** Comprehensive tracking of local elevator bids, rail rates, and processor logistics to optimize delivery locations.
- **Direct Strategy Integration:** Coordinating HTA contracts, cash contracts, and hedging tools directly with your crop insurance agent to verify coverage boundaries.

Pillar 04 R&D Tax Credits Detail

The Federal Research and Development Tax Credit (IRS Section 41) is a powerful tool for modern farmers. If you are conducting trials, testing cover cropping systems, adjusting chemical prescriptions, or converting equipment to improve efficiency, you qualify for dollar-for-dollar tax credits.

Qualified Agricultural Research (QRE)

We conduct a detailed study of your operation to identify qualifying costs, including operator labor, experimental seeds/biologicals, and custom implement modifications. We compile an audit-ready study pack to claim federal and state R&D tax offsets.

Eligible R&D Activities Include:

- **Agronomic Trials:** Planting experimental seeds, variable-rate nitrogen trials, or comparing tillage setups.
- **Technological Adjustments:** Customizing row planters, retrofitting GPS sensors, or evaluating precision irrigation scripts.
- **Cover Cropping Studies:** Evaluating cover crop species mixtures to optimize nitrogen fixation or soil composition.

Pillar 05 Data Collection (Concierge) Detail

To qualify for legacy nutrient deductions and crop insurance audits, you must compile historical records. If retrieving yield logs and legal deeds feels overwhelming, our Data Concierge service handles the complete organization process.

Dynamic Pricing Structure

Concierge services are priced on a matrix scaling from \$10 to \$15 per acre. A large operation with clean digital summaries is billed at ****\$10/acre****, while a smaller farm requiring manual document scanning is billed at ****\$15/acre**** (details in Page 1 Matrix).

Information Retrieved & Organized:

- **Historical Records:** Yield maps, scale tickets, grain sales contracts, and fertilizer receipts.
- **Land Records:** Deed histories, boundary shapefiles, FSA map outlines, and certified acreage summaries.

Disclaimer: Vrzak Insurance is an agricultural strategic consulting practice. Legacy nutrient deduction calculations are provided for illustration based on regional soil baselines, executed in partnership with Boa Safra Ag, and must be reviewed by your independent CPA. R&D Tax Credit studies are billed on a contingency basis and must be finalized by your tax preparer. All crop insurance policies are written and placed through licensed crop insurance agent partners and USDA Approved Insurance Providers. Rates are federally regulated and fixed. Advisory pricing is subject to signed consulting agreements.